# System and Organization Controls (SOC) 1 Type 2

## SOC 1 Type 2 overview

System and Organization Controls (SOC) for Service Organizations are internal control reports created by the American Institute of Certified Public Accountants (AICPA). They're designed to examine services provided by a service organization so that users can assess and address the risk associated with an outsourced service.

A SOC 1 Type 2 attestation is performed under:

- SSAE No. 18, Attestation Standards: Clarification and Recodification, which includes AT-C section 320, *Reporting on an Examination of Controls at a Service Organization Relevant to User Entities' Internal Control Over Financial Reporting* (AICPA, Professional Standards).
- SOC 1 Reporting on an Examination of Controls at a Service Organization Relevant to User Entities' Internal Control Over Financial Reporting (AICPA Guide).

Aside from the AICPA Statement on Standards for Attestation Engagements 18 (SSAE 18), the Microsoft 365 SOC 1 Type 2 audit is conducted in accordance with the International Standard on Assurance Engagements No. 3402 (ISAE 3402). The SOC 1 attestation replaces SAS 70, and it's appropriate for reporting on controls at a service organization relevant to user entities internal controls over financial reporting. A Type 2 report includes auditor's opinion on the control effectiveness to achieve the related control objectives during the specified monitoring period.

## Microsoft in-scope cloud platforms and services

The Azure SOC 1 Type 2 attestation report shows Microsoft online services in scope:

- Azure (for detailed insight, see Microsoft Azure Compliance Offerings)
- Azure DevOps (see separate Azure DevOps SOC 1 Type 2 attestation report )
- Microsoft Dynamics 365 (for detailed insight, see Azure SOC 1 Type 2 attestation report )
- Microsoft Defender XDR
- Microsoft Defender for Cloud Apps
- Microsoft Defender for Endpoint
- Microsoft Defender for Identity
- Microsoft Intune
- Microsoft Managed Desktop
- Microsoft Stream

- Microsoft Threat Experts
- Nomination Portal
- Power Apps
- Power Automate
- Power BI
- Power Virtual Agents
- Update Compliance

The following Microsoft online services are in scope for the Microsoft 365 SOC 1 Type 2 attestation report.

# Azure, Dynamics 365, and SOC 1

For more information about Azure, Dynamics 365, and other online services compliance, see the Azure SOC 1 offering.

# Microsoft 365 and SOC 1

## Microsoft 365 environments

Microsoft Office 365 is a multi-tenant hyperscale cloud platform and an integrated experience of apps and services available to customers in several regions worldwide. Most Office 365 services enable customers to specify the region where their customer data is located. Microsoft may replicate customer data to other regions within the same geographic area (for example, the United States) for data resiliency, but Microsoft will not replicate customer data outside the chosen geographic area.

This section covers the following Office 365 environments:

- **Client software (Client)**: commercial client software running on customer devices.
- **Office 365 (Commercial)**: the commercial public Office 365 cloud service available globally.
- **Office 365 Government Community Cloud (GCC)**: the Office 365 GCC cloud service is available for United States Federal, State, Local, and Tribal governments, and contractors holding or processing data on behalf of the US Government.
- **Office 365 Government Community Cloud - High (GCC High)**: the Office 365 GCC High cloud service is designed according to Department of Defense (DoD) Security Requirements Guidelines Level 4 controls and supports strictly regulated federal and defense information. This environment is used by federal agencies, the Defense Industrial Base (DIBs), and government contractors.
- **Office 365 DoD (DoD)**: the Office 365 DoD cloud service is designed according to DoD Security Requirements Guidelines Level 5 controls and supports strict federal and defense regulations. This environment is for the exclusive use by the US Department of Defense.

Use this section to help meet your compliance obligations across regulated industries and global markets. To find out which services are available in which regions, see the International availability information and the Where your Microsoft 365 customer data is stored article. For more information about Office 365 Government cloud environment, see the Office 365 Government Cloud article.

Your organization is wholly responsible for ensuring compliance with all applicable laws and regulations. Information provided in this section does not constitute legal advice and you should consult legal advisors for any questions regarding regulatory compliance for your organization.

## Microsoft 365 applicability and in-scope services

Use the following table to determine applicability for your Microsoft 365 services and subscription:

Expand table

| Applicability | In-scope services |
|---|---|
| **Commercial** | Bing Teams (including ObjectStore, Enterprise News – One Service, and Semantic Fabric), Customer Lockbox, Educational Services (including Insights, Microsoft LMS Gateway, OneDrive LTI, Reading Progress/Assignments, School Data Sync, Math Recognizer/Solver, and Search Coach), Exchange Online, Exchange Online Protection, IDEAs Personalization Runtime Service, Loki, M365 Usage Reports, Microsoft Defender for Cloud Apps (App Governance), Microsoft Defender for Office 365 (including Advanced Hunting, Attack Simulation and Training, and One Cyber endpoint protection), Microsoft Forms, Microsoft Planner, Microsoft Priva, Microsoft Purview (including Auditing, Communication Compliance, Compliance Manager, Data Lifecycle Management, Records Manager, Data Loss Prevention, eDiscovery, Information Protection, Unified Feedback Platform, Insider Risk Management, Data Classification Services, Exact Data Match, and ML Inference), Microsoft Sway, Microsoft Teams, Office Collaboration, Office for the Web (formerly called "Office Online"), OneNote Services, Outlook Web Application, PowerPoint Online Document Service, Service Encryption with Customer Key, Query Annotation Service, Real Time Channel, Remote Help, Search Content Service, SharePoint Online (including OneDrive, Microsoft 365 Backup, Project Online, Viva Topics, and Viva Connections), Tasks Business Scenario Service, Viva Glint, Viva Goals, Viva Insights (including Personal Insights, Manager and Leader Insights, and Advance Insights), Viva Learning, Viva Pulse, Whiteboard, and Windows 365 |
| **GCC** | Bing Teams (including ObjectStore), Customer Lockbox, Exchange Online, Exchange Online Protection, IDEAs Personalization Runtime Service, Loki, M365 Usage Reports, Microsoft Defender for Cloud Apps (App Governance), Microsoft Defender for Office 365 (including Advanced Hunting, Attack Simulation and Training, and One Cyber endpoint protection), Microsoft Forms, Microsoft Planner, Microsoft Priva, Microsoft Purview (including Auditing, Communication Compliance, Compliance Manager, Data Lifecycle Management, Records Manager, Data Loss Prevention, eDiscovery, Information Protection, Unified Feedback Platform, Insider Risk Management, Data Classification Services, Exact Data Match, and ML Inference), Microsoft Teams, Office Collaboration, Office for the Web (formerly called "Office Online"), OneNote Services, Outlook Web Application, PowerPoint Online Document Service, Service Encryption with Customer Key, Query Annotation Service, Real Time Channel, Remote |

| Applicability | In-scope services |
| --- | --- |
| | Help, Search Content Service, SharePoint Online (including OneDrive, Microsoft 365 Backup, Project Online, Viva Topics, and Viva Connections), Tasks Business Scenario Service, Viva Insights (including Personal Insights), Whiteboard, and Windows 365 |
| **GCC High** | Bing Teams (including ObjectStore), Customer Lockbox, Exchange Online, Exchange Online Protection, Loki, M365 Usage Reports, Microsoft Defender for Cloud Apps (App Governance), Microsoft Defender for Office 365 (including Advanced Hunting, Attack Simulation and Training, and One Cyber endpoint protection), Microsoft Forms, Microsoft Planner, Microsoft Priva, Microsoft Purview (including Auditing, Communication Compliance, Compliance Manager, Data Lifecycle Management, Records Manager, Data Loss Prevention, eDiscovery, Information Protection, Unified Feedback Platform, Insider Risk Management, Data Classification Services, Exact Data Match, and ML Inference), Microsoft Teams, Office Collaboration, Office for the Web (formerly called "Office Online"), OneNote Services, Outlook Web Application, PowerPoint Online Document Service, Service Encryption with Customer Key, Query Annotation Service, Real Time Channel, SharePoint Online (including OneDrive, Microsoft 365 Backup, Project Online, Viva Topics, and Viva Connections), Tasks Business Scenario Service, Viva Insights (including Personal Insights), Whiteboard, and Windows 365 |
| **DoD** | Bing Teams (including ObjectStore), Customer Lockbox, Exchange Online, Exchange Online Protection, Loki, M365 Usage Reports, Microsoft Defender for Cloud Apps (App Governance), Microsoft Defender for Office 365 (including Advanced Hunting, Attack Simulation and Training, and One Cyber endpoint protection), Microsoft Forms, Microsoft Planner, Microsoft Priva, Microsoft Purview (including Auditing, Communication Compliance, Compliance Manager, Data Lifecycle Management, Records Manager, Data Loss Prevention, eDiscovery, Information Protection, Unified Feedback Platform, Insider Risk Management, Data Classification Services, Exact Data Match, and ML Inference), Microsoft Teams, Office Collaboration, Office for the Web (formerly called "Office Online"), OneNote Services, Outlook Web Application, PowerPoint Online Document Service, Service Encryption with Customer Key, Query Annotation Service, Real Time Channel, SharePoint Online (including OneDrive, Microsoft 365 Backup, Project Online, Viva Topics, and Viva Connections), Tasks Business Scenario Service, Viva Insights (including Personal Insights), and Whiteboard |

## Microsoft 365 audit reports

- Customers can download the Microsoft 365 SOC 1 Type 2 Reports for Central and Microservices via the Service Trust Portal .
- The Service Trust Portal also provides bridge letters and additional audit reports.

To download SOC 1 and SOC 2 attestation reports and any bridge letters, you need an existing subscription or free trial account in Microsoft 365 or Microsoft 365 U.S. Government.

# Frequently asked questions

**How often are Microsoft 365 SOC reports issued?**

Microsoft commissions a full SOC 1 Type 2 and SOC 2 Type 2 examination of Office 365 annually. The auditor's reports on these examinations (also known as audits) are issued as soon as they're

ready after that audit. The SOC 3 report, which is based on the SOC 2 examination, is issued at the same time.

Because Microsoft doesn't control the investigative scope of the examination nor the timeframe of the auditor's completion, there's no set timeframe when these reports are issued. The reports are usually issued a few months after the end of the period under examination. Microsoft doesn't allow any gaps in the consecutive periods of examination from one examination to the next.

Microsoft also commissions a mid-year SOC 1 Type 1 and SOC 2 Type 1 examination of Microsoft 365 for new Microsoft services that are issued since the last SOC Type 2 audit. Type 1 audits don't look back over a period of performance.

Due to the sophisticated nature of Office 365, the service scope is large if examined as a whole. This large scope can lead to examination completion delays. Microsoft organizes all the examinations described previously into two categories: Core Services and Microservices. Microsoft issues a report scoped to each examination.

SOC Type 2 audits examine a rolling 12-month *run window* (also known as the audit period or more formally *period of performance*) with examinations conducted annually for the period 1-October through 30-September of the next calendar year. The examination starts promptly after the period of performance is complete.

Microsoft also issues bridge letters (also known as *gap letters*). These self-attestations by Microsoft aren't reports based on examinations by the auditor. Microsoft issues bridge letters during the current period of performance that isn't yet complete and ready for audit examination. Microsoft issues bridge letters at the end of each quarter to attest to performance during the prior three-month period. Due to the period of performance for the SOC type 2 audits, the bridge letters are typically issued in December, March, June, and September of the current operating period.

**How can customers benefit from Microsoft 365 SOC 1 Type 2 attestation?**

Customers can use the Microsoft 365 SOC 1 Type 2 attestation when pursuing their own financial industry-specific compliance requirements such as Sarbanes-Oxley (SOX), Federal Financial Institutions Examination Council (FFIEC), Gramm-Leach-Bliley Act (GLBA), and others.

**Where can I get the Microsoft 365 SOC audit documentation including Microsoft's bridge letters?**

For links to audit documentation, see the audit report section of the Service Trust Portal . You must have an existing subscription or free trial account in Microsoft 365 or Microsoft 365 U.S. Government to sign in. You can then download audit certificates, assessment reports, and other applicable documents to help you with your own regulatory requirements.

**Where can I see management responses to exceptions noted?**

Most examinations have some observations on one or more of the specific controls examined. Some number of observations is to be expected. Management responses to any exceptions are located towards the end of the SOC attestation report. Search the document for 'Management Response.'

**Where can I see user entity responsibilities?**

User entity responsibilities are your control responsibilities necessary if the system as a whole is to meet the SOC 2 control standards. These responsibilities are located at the very end of the SOC attestation report. Search the document for 'User Entity Responsibilities.'

## Use Microsoft Purview Compliance Manager to assess your risk

Microsoft Purview Compliance Manager is a feature in the Microsoft Purview portal to help you understand your organization's compliance posture and take actions to help reduce risks. Compliance Manager offers a premium template for building an assessment for this regulation. Find the template in the **assessment templates** page in Compliance Manager. Learn how to build assessments in Compliance Manager.

## Resources

- Service Trust Portal audit reports
- SSAE No. 18, Attestation Standards: Clarification and Recodification
- SOC 1 Reporting on an Examination of Controls at a Service Organization Relevant to User Entities' Internal Control Over Financial Reporting (AICPA Guide) (available for purchase)

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